

Article | 4 September 2026

UNITED STATES

# US jobs report beats all expectations, boosts case for a September hike

The US added 162,000 jobs in August, above all expectations in the market, with an additional 55,000 of upward revisions to the past two months. With Fed Chair Kevin Warsh describing the US at full employment, this outcome has nudged expectations of a September rate hike higher, but the final decision hangs on next Friday's inflation print



The August jobs report was stronger than expected, with construction one of the bright spots. The stronger number could result in a September rate hike, but we still have next week's inflation numbers

## 162,000 US jobs added in August

Better than expected

### Solid job gains, unemployment stays low

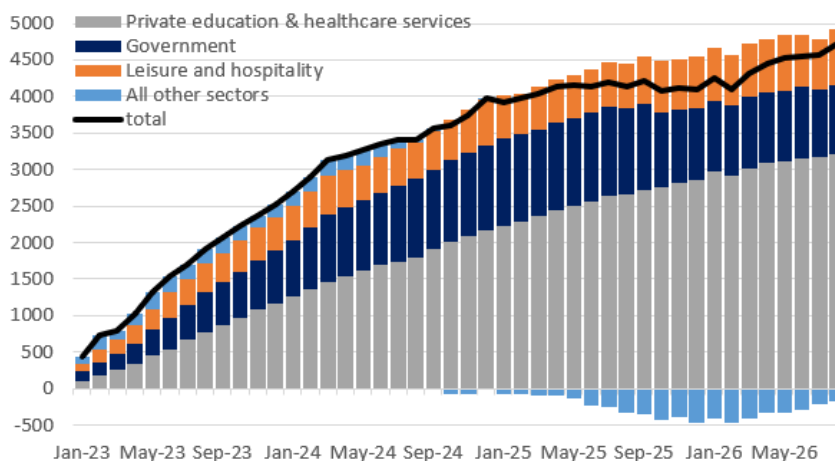
Today has seen the release of a strong US August jobs report that makes a September Fed

interest rate hike look a [little more likely](#). NFPs rose 162k with 55k of upward revisions to the past two months. Expectations were for just a 55k rise in total. The unemployment rate remains unchanged at 4.1% despite an improvement in the participation rate. Wage growth is benign, rising 3.1% year-on-year.

The details show the private sector contributing 127k of the 162k total new jobs, with leisure and hospitality rebounding 62k after two consecutive down months and private education & healthcare adding 29k. Construction added 22k and manufacturing added 16k. Government was also firm despite small drops in federal and state government employment. Instead, it was local government education, which rose 42k that led the charge. That is a surprise given media coverage of falling pupil enrolment and supposed lay-offs in the sector.

Jobs growth continues to be dominated by just three sectors – private education and healthcare services, government and leisure and hospitality. This concentrated story is underscored by the fact that cumulatively, all other sectors of the economy have lost jobs since the end of 2022. That is a remarkable situation given the strength of GDP growth seen over that period and implies big productivity gains and reinforces the message about robust corporate profitability in the United States.

### Cumulative increase in employment since December 2022 (000s)



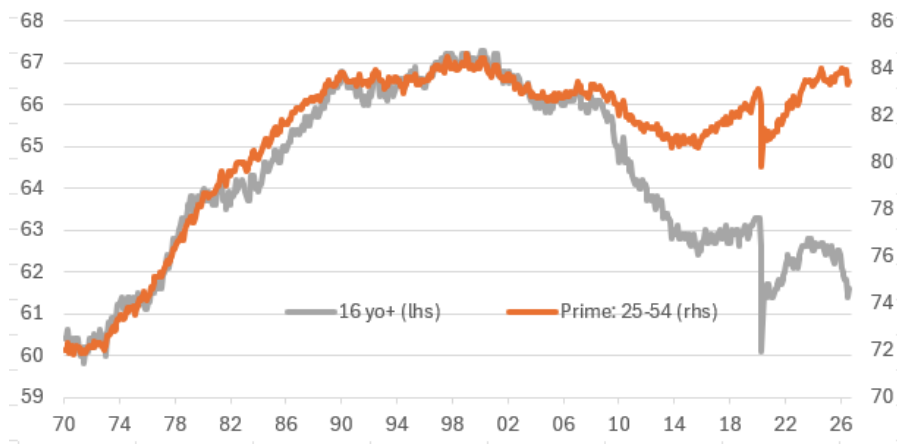
Source: Macrobond, ING

### Labour force participation remains worryingly weak

In terms of the household survey, used to calculate the unemployment rate, it showed a 569k increase in employment and a 115k increase in unemployment facilitated by a 683k increase in the civilian labour force. This is a partial correction to a startling trend of people leaving the workforce. Ten months ago, the participation rate was up at 62.6%, falling to 61.4% in July, but

now back to 61.6%.

### Labour force participation (%)



Source: Macrobond, ING

### A soft inflation print could still tempt the Fed to hold steady

Unsurprisingly, the market has moved to price 16bp of a 25bp rate hike, up from 12.5bp yesterday after Fed Governor Waller's relatively dovish comments whereby he suggested a soft inflation print could mean he votes for stable policy. Next Friday's CPI report will indeed be the key decider and the 0.4% month-on-month increase in headline prices and a 0.2% increase in core (ex food and energy) prices, which is what both we and the consensus predict, is probably not cool enough to prevent Warsh nudging the rest of the FOMC into a hike.

### Author

**James Knightley**

Chief International Economist, US

[james.knightley@ing.com](mailto:james.knightley@ing.com)

### Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose

possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit [www.ing.com](http://www.ing.com).